



Qualification Programme Examination Panelist's Report

Module 8 – Principles of Auditing (June 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

The multiple choice questions covered principles of professional ethics, inherent risk, control activities, application of test control procedures and substantive procedures. In general, the performance of candidates was satisfactory for questions relating to principle of professional ethics. Candidates' performance was less satisfactory for questions relating to inherent risk, control activities and the application of test control procedures.

Specific Comments

Candidates showed weaknesses in the following areas:

- Inherent risk of misstatement of inventory.
- Application of substantive procedure for valuation and completeness assertion of inventory.

(II) Section B – Written Questions

General Comments

The written questions covered basic auditing concepts such as key matters of business operation, audit approach, assertions, client screening process procedures, potential risks of material misstatement from audit issues and the appropriate audit response, internal audit function, audit committee responsibilities, unmodified opinion, types of modified opinion, and, essential elements of the auditor's report, as well as the application of substantive procedures.

Candidates did not perform well when completing some of the questions about basic accounting concepts due to insufficient study of the subject materials. They performed well on questions related to auditor's opinion. They did not perform well when answering questions on topics such as client screening process procedures, internal audit function, audit committee responsibilities, audit approach, potential risks of material misstatement from audit issues and the appropriate audit response. In addition, many students were not able to list possible substantive procedures for intangible assets.



Specific Comments

Question 1(a) – 9 Marks

This question required candidates to list client screening process procedures. The question is straightforward, many candidates were not able to list client screening process procedures and directly discussed risk assessment procedures.

Question 1(b) – 7 Marks

This question required candidates to explain the key matters of business operations that are relevant to the auditors. The performance was not satisfactory. Most candidates were able to list key matters of business operations but failed to explain.

Question 1(c) – 3 Marks

This question required candidates to explain the appropriateness of selection of audit approach. The performance was not satisfactory. Candidates were not able to point out the number of transactions is small and complex calculation.

Question 1(d) – 4 Marks

This question required candidates to state and explain the four assertions for the audit of salaries and commission expenses. The performance was not satisfactory. Some candidates state assertions for statement of financial position items instead of profit or loss items.

Question 1(e) – 7 Marks

This question required candidates to list substantive audit procedures for the audit of salaries and commission expenses. The performance on this question was satisfactory. Most candidates were able to list the substantive audit procedures.

Question 2(a) – 8 Marks

This question required candidates to identify audit issues and explain potential risks of material misstatement from audit issues. The performance was not satisfactory. Most candidates could identify the issues. Some candidates were not able to explain the potential risks of material misstatement from audit issues.

Question 2(b) – 4 Marks

This question required candidates to determine the appropriate audit responses to issues identified in Question 2(a). Most candidate were not able to provide relevant responses.



Question 2(c) – 8 Marks

This question required candidates to list possible substantive audit procedures for the intangible assets. The performance for this question was poor. Some candidates listed out assertions instead of substantive audit procedures.

Question 3(a) – 3 Marks

This question required candidates to define internal audit function. Most candidates were not able to define internal audit function.

Question 3(b) – 4 Marks

This question required candidates to explain how the external auditor can use the work of the internal auditor. The performance was not satisfactory. Some candidates misunderstood the question requirement and explained how the external auditor assesses the competence of the internal auditor.

Question 3(c) – 8 Marks

This question required candidates to list and explain four major categories of oversight responsibilities of the audit committee. The performance was not satisfactory. Many candidates did not study well on this area and not able to provide the answer.

Question 4(a) – 2 Marks

This question required candidates to explain unmodified opinion. Most candidates were able to explain the concept well.

Question 4(b) – 5 Marks

This question required candidates to list ten basic elements of an unmodified auditor's report. The question is straightforward and the performance was satisfactory.

Question 4(c) – 4 Marks

This question required candidates to list four modified auditor's opinion. Most candidates performed well.

Question 4(d) – 4 Marks

This question required candidates to state the type of auditor's opinion and the description that would be included in the Basis for Opinion section in the auditor's report. Most candidates could state the correct type of auditor's opinion. However, some candidates were not able to describe the required content that would be included in the Basis for Opinion section.



(III) Conclusion and Recommendation

Overall, the performance of the candidates was fair. The performance of candidates for the multiple choice questions was satisfactory. The candidates performed less satisfactory when attempting the written questions. The candidates displayed a lack of understanding of some basic auditing knowledge and they did not perform well on application of the knowledge of the Auditing and Accounting Standards.

Candidates are advised to put adequate effort into studying the learning materials before taking this module exam.

Candidates are reminded to read the questions carefully to interpret the question requirement correctly.